Town of Ajax Report

Report To:	General Government Committee
Prepared By:	Mary Lou Cosentino, Manager HR Services
Report #:	CAO-2025-01
Subject:	**Council Remuneration Update**
Ward(s):	n/a
Date of Meeting:	June 16, 2025
Reference:	CAO-2023-09

Recommendation:

That Council approve the following mid-term remuneration adjustments for Members of Council, ensuring alignment with compensation levels in comparable municipalities within the region, and reinforcing the value and demands of public service:

- An increase of $14,622 to the Mayor's annual salary and a $7,300 increase for each Council Member, effective January 1, 2025.
- An increase of $1,058 to the Mayor's annual travel allowance and a $575 increase for each Council Member, effective January 1, 2025.
- Implementation of a $2,125 annual health care spending account for all members of Council, effective July 1, 2025.

Background:

The *Municipal Act, 2001*, gives municipal councils authority to set the remuneration for members of Council. Remuneration packages may include salary, benefits, pension, severance, and other entitlements.

The process by which municipalities determine remuneration for Members of Council varies. Approaches include benchmarking against comparable municipalities, aligning entitlements to union settlements, or using a hybrid model that combines both.

Council's current remuneration bylaw (27-2023), approved in 2023, establishes that Council remuneration is to be aligned with entitlements provided to the Town's Exempt staff and automatically adjusted based on union negotiated settlements. The 2023 renumeration report also directs Human Resources to conduct periodic reviews throughout the Council term to ensure that compensation remains fair and competitive, reflecting the evolving and expanding responsibilities of local elected officials, and, if necessary, any mid-term adjustments may be brought forward through reports to Council.

Discussion:

Based on Human Resources' annual reviews, it is evident that a one-time market adjustment to Council remuneration is necessary to address gaps. This proposed adjustment is separate from the provisions of the current remuneration bylaw and will not impact the existing policy.

The analysis focused on the base annual salary and benefits. The Town has fallen behind in ensuring equitable and competitive compensation for its Elected Officials. The compensation of Elected Officials must account for the increasing demands and time commitment of public service and also align with the Town's commitment to attracting and retaining qualified individuals for these critical leadership roles.

For example, the recent benchmarking analysis comparing the Town's current Council compensation to that of four lakeshore municipalities (Oshawa, Pickering, Clarington and Whitby) found that the Mayor and Members of Council are currently compensated approximately 11% to 16% below the average and some benefits have fallen behind.

Staff are recommending a one-time adjustment to align the Mayor and Members of Council's salaries and some benefits with the average of the comparator municipalities. This approach not only closes the current gaps but also supports fairness and transparency in remuneration practices.

Salary

	Ajax	**Oshawa**	**Pickering**	**Clarington**	**Whitby**
Mayor	$120,899	$143,565.51	$131,436	$137,383	$129,701
Council Member	$46,264	$52,685.27	$55,841	$54,954	$50,776
Effective	January 1, 2024	November 15, 2025	January 1, 2025	January 1, 2025	January 1, 2024

Based on the above information, a comparison of salaries between Ajax and the other municipalities can be made:

Position	**Ajax**	**Others (avg)**	**Ajax Variance**
Mayor	$120,899	$135,521	-$14,622
Council Member	$46,264	$53,564	-$7,300

Recommendation: The salary for the mayor be adjusted to $135,521 and the salary for a council member be adjusted to $53,564, effective Jan 1, 2025.

Travel Allowance

	Ajax	**Oshawa**	**Pickering**	**Clarington**	**Whitby**
Mayor	$14,897	200 / pay or $0.59 / km (2020 rate)	$16,200	$14,712	$16,953

Council Member	$9,438	200 / pay or $0.59 / km (2020 rate)	$12,000	$9,768	$8,273

Based on the above information, a comparison of travel allowance between Ajax and the other municipalities can be made:

Position	Ajax	Others (avg)	Ajax Variance
Mayor	$14,897	$15,955	-$1,058
Council Member	$9,438	$10,013	-$575

Recommendation: The travel allowance for the mayor be adjusted to $15,955 and the travel allowance for a council member be adjusted to $10,013 effective Jan 1, 2025.

Health Care Spending Account

	Ajax	Oshawa	Pickering	Clarington	Whitby
Council Members	None	$1,000/yr	$7,500/yr	None	None
R. Councillors	*$2,000/yr	*$2,000/yr	*$2,000/yr	*$2,000/yr	*$2,000/yr

*Entitlement provided by the Region of Durham.

The average annual Health Care Spending at the lower-tier level is:

Position	Ajax	Others (Oshawa and Pickering)	Ajax Variance
Council	$0.00	$4,250	-$4,250

Recommendation: That the Town introduce a health care spending entitlement of $2,125 per year, which is 50% of the average, for each Council Member, and that Regional Councillors be required to seek reimbursement for eligible health care expenses through the Region first, before accessing the Town entitlement. This entitlement would come into effect July 1, 2025.

Financial Implications:

The total annual financial impact of this one-time market adjustment for all Members of Council is:

- $58,422 – Salary adjustments
- $4,508 – Travel allowance adjustments
- $14,875 – Health Care Spending

The above will also result in an additional impact of $10,000 for statutory deductions and OMERS/RRSP contributions.

This one-time market adjustment is a standalone measure and does not affect the provisions of the existing remuneration bylaw.

The impact will be managed through the Operating Budget Management Policy and updates will be included in the 2026 operating budget.

Communication Issues:

This is a public report and available at www.ajax.ca/meetings.

Relationship to the Strategic Plan:

N/A

Conclusion:

The current compensation and benefits for Members of Council is significantly behind other lakeshore municipalities. A one-time salary adjustment will address this gap and ensure that the Town's compensation levels remain fair and competitive.

Prepared by:

Mary Lou Cosentino – Manager, HR Services

Submitted and Approved by:

Shane Baker – Chief Administrative Officer